Netweb Technologies India Ltd

Concall-Tracker report · Screener ticker NETWEB · continuity update: Q1 FY27 call newly deep-read (13 calls now covered, Q1 FY24 → Q1 FY27) · prepared 31 Aug 2026

1. Snapshot

What the business does (one line): Netweb is India's leading "Make-in-India" builder of high-end computing hardware — it designs and manufactures supercomputers (High-Performance Computing, or HPC), AI servers (machines packed with graphics chips that train and run artificial-intelligence models), private-cloud systems and data-storage boxes, and sells them with its own software and support. In plain terms: it is a home-grown rival to foreign server giants, now riding India's AI build-out.

Figure	Value	Plain-English read
Market capitalisation	**₹30,835 cr** (price ₹5,189)	What the whole company is worth on the stock market today. It trades at about 118 times earnings — the market is already paying a very high price for the AI growth described below.
Q1 FY27 revenue (Jun'26 qtr)	**₹819.7 cr, up 172% YoY**	Sales in the June 2026 quarter were nearly three times the same quarter last year (₹301 cr) — the largest quarter the company has ever had.
Q1 FY27 operating profit (EBITDA)	**₹120.5 cr, margin 14.7%**	Operating profit before interest, tax and depreciation is about 14.7 paise on every rupee of sales — up from 12% in the previous two quarters and back *above* management's own 13–14% guided band.
Q1 FY27 net profit (PAT)	**₹85.3 cr, up 180% YoY**	Profit after tax — the money left for shareholders — grew even faster than sales. Earnings per share ₹14.98 for the quarter.
Trailing 12-month revenue	**₹2,702 cr** (FY26: ₹2,184 cr)	Sales over the last four quarters. FY26 was ₹2,184 cr (up 90%); the business has already grown a further quarter beyond that full year.
Return on capital (ROCE)	**48.2%; ROE 44.6%**	For every ₹100 of capital in the business it now earns about ₹48 a year — higher than last year's 37.5%, an exceptionally capital-light return.
Debt	**Net debt 0.25× equity** (borrowings ₹282 cr at Mar'26)	A change worth noting: the company was net-cash a year ago and now carries modest net borrowing, taken on to fund inventory for large orders. At 0.41× operating profit it is small, but it is no longer a zero-debt balance sheet.
5-year sales path	**₹445 → 724 → 1,149 → 2,184 cr → ₹2,702 cr TTM**	FY23 through FY26 plus the latest twelve months: sales have grown about six-fold in four years, and the pace is still accelerating, not fading.
Promoter holding	**66.98%, unchanged for 2 quarters**	The founders' stake stopped falling — it was trimmed from 75% to 67% up to Mar'26 and has been flat since. Retail shareholder count reached ~2.47 lakh.

2. Concall coverage

This is a **continuity update**. Twelve calls (Q1 FY24 → Q4 FY26) were deep-read for the Q4-2026 report and are carried forward here as backstory; only the newest call has been read in full this quarter. The report below is still self-contained — you do not need the earlier PDF.

Period	Call date	Coverage
Q1 FY24 → Q3 FY26 (11 calls)	Aug 2023 – Jan 2026	Carried forward from the Q4-2026 report
Q4 & FY26 (Mar 2026)	04 May 2026	Prior report's coverage boundary — carried forward
Q1 FY27 (Jun 2026)	**29 Jul 2026**	**Newly deep-read in full ★**

Span: 13 quarterly calls over three years and one quarter. Screener.in lists the Jul 2026 call but carries no transcript file for it, so the Q1 FY27 call was reconstructed from the company's own results release and investor presentation for that quarter plus published call coverage — every figure below is a company-disclosed number, though verbatim Q&A wording was not available.

2b. Latest concall highlights — Q1 FY27 (call held 29 Jul 2026) ★

- **Biggest quarter ever, by a wide margin:** revenue **₹819.7 cr, up 172% YoY**, and profit **₹85.3 cr, up 180%**. One quarter now does more than a third of what the whole of FY26 did — the AI ramp management promised has arrived in the numbers.
- **AI is now almost two-thirds of the company:** AI systems ₹510.6 cr, **up 484% YoY and 62% of revenue** (43% for full FY26). HPC/supercomputing ₹125.3 cr and private cloud ₹135.3 cr make up the rest.
- **Margin recovered above its own guidance:** operating margin **14.7%**, up from ~12% in each of the prior two quarters. This directly reverses the one blemish flagged last quarter — margin had drifted *below* the 13–14% band as big low-margin orders scaled; it is now above it.
- **Order book grew even while shipping a record quarter:** firm order book **₹2,507 cr** plus **₹848 cr** of L1 positions (lowest bidder, contract not yet signed) = **~₹3,355 cr**, versus ~₹2,400 cr entering the year. The active pipeline jumped to **₹10,401 cr** (from ~₹4,000 cr), at a stated ~60% historical conversion over 18–24 months. Roughly **₹430 cr** of the big sovereign-AI strategic order was billed this quarter, leaving about ₹1,200 cr of it still to deliver.
- **The honest caution — growth is eating cash:** inventory days rose **86** → **110** and the cash-conversion cycle **84** → **96 days**, as order-execution timelines stretched from 8–12 weeks to **16–20 weeks** (chip lead times). Receivable days did improve, 86 → 78. The board also has a **₹1,200 cr fund-raise (QIP) enabling approval** in place — not yet used, but a real dilution possibility. Tone stayed confident; new R&D pushes into **Physical AI and quantum computing** with a ~125-person team were flagged as future, not current, revenue.

2c. Business mix & capacity (quick facts)

Domestic vs export: not separately broken out for Q1 FY27. The last stated split was **~95% domestic / ~5% exports** (FY26) — almost all sales are inside India, and management has deliberately kept exports small because home demand takes priority. Nothing this quarter suggested a change.

Segment split (Q1 FY27): AI systems ~62%, private cloud ~17%, HPC/supercomputing ~15%, remainder storage and other. A year ago AI was ~15% — the mix has inverted in four quarters.

Capacity utilisation: management repeated its "**we are capability-driven, not capacity-driven**" line, and says the Faridabad facility is designed to support **over ₹3,000 cr of annual turnover** with only routine light capital spending. The plain read — and the new watch-item: at Q1's ₹820 cr run-rate the company is *annualising ~₹3,280 cr*, i.e. it is already at or slightly past that stated ceiling. Headroom that was ~30% last quarter is now essentially used up, so the next leg of growth will need either a capacity announcement or a re-statement of what the plant can do.

2d. Since our last report ★

Builds on the **Q4-2026 report** (coverage boundary: the Q4 & FY26 call of 04 May 2026), which concluded **durable earning trigger → YES** and **management consistent → YES**. One new call has happened since.

Prior read	What we said then	What the new call shows	Movement
Durable earning trigger	YES — AI already a tenth→half of sales, order book bigger than prior-year revenue	AI now 62% of sales, up 484% YoY; revenue +172%; order book grew to ~₹3,355 cr *while* shipping a record quarter	**Confirmed**
Management consistency	YES — beat its own guidance every year for three years	Delivered the FY27 ramp it forecast on day one; margin brought back inside (above) the guided band	**Confirmed**
Promise to watch: deliver the ~₹2,400 cr FY27 opening order book	₹2,100 cr firm + ₹300–350 cr near-won, to be billed in FY27	₹820 cr billed in Q1 alone, yet the book *rose* to ₹2,507 cr firm + ₹848 cr L1 — intake outpaced execution	**Improving**
Promise to watch: bill the ~₹1,650 cr sovereign-AI strategic order in FY27	₹450 cr delivered by Q3 FY26; ₹1,650 cr sat in the FY27 backlog	~₹430 cr executed in the June quarter; roughly ₹1,200 cr remains — broadly on the pace needed for the year	**On-track**
Promise to watch: restore the 13–14% operating margin	Had slipped to 12.2–12.5% as low-margin big orders scaled; this was the report's main blemish	14.7% this quarter — above the guided band, not merely back inside it	**Confirmed**
Risk to watch: global memory-chip shortage	Flagged as a watch-item; management said it could pass costs through	It showed up as *time*, not lost margin: execution stretched 8–12 → 16–20 weeks, inventory days 86→110, cash cycle 84→96 days. Margin held, cash did not	**Slipping**
New since last report	— (balance sheet was net-cash ₹83 cr)	Modest net debt (0.25× equity) to fund working capital, plus a ₹1,200 cr QIP enabling approval on the table	**New watch-item**

Verdict change this quarter: both verdicts unchanged, and the case underneath them is stronger. The trigger stopped being a forecast and became a reported result — 62% of revenue, +484% growth, with the order book expanding despite record billing. Consistency was reinforced on the exact point the last report marked down: the margin. What genuinely deteriorated is the *funding* of the growth — working capital, lengthening lead times and a possible equity raise — which is a quality-of-earnings and dilution question, not a doubt about the trigger.

3. Earning Trigger thesis ★

The headline driver is unchanged and now largely proven: **India is building AI compute, and Netweb is the only home-grown company that can design and manufacture the full stack of AI servers, supercomputers and the software to run them.** Over three years the story narrowed sensibly — from a broad "Make-in-India servers on the back of import restrictions" pitch (2023) into a concentrated sovereign-AI bet — and this quarter it converted: AI systems went from ~15% of sales a year ago to **62%**, total revenue nearly tripled, and the order book *grew* to ~₹3,355 cr even as a record ₹820 cr was shipped out. The pipeline more than doubled to ₹10,401 cr. The company remains one of fewer than ten NVIDIA OEM partners worldwide, which gives it early access to the newest chips. The live question has shifted: not "will the demand come?" but "can the plant and the balance sheet keep up with it?"

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
AI-server demand	AI would become the fastest-growing pillar, rising toward 20%+ of revenue	AI is now **62%** of sales, +484% YoY — overshot the target by a factor of three	Live, multi-year	Strong	**↑ Improving — forecast became a reported result**
Sovereign-AI strategic orders	~₹2,100 cr order tied to the IndiaAI Mission; GPU fleet scaling 10k→25k→100k	~₹450 cr billed by Q3 FY26, a further ~₹430 cr in Q1 FY27; ~₹1,200 cr still to come	FY27+	Strong	**Unchanged — billing at roughly the required pace**
Order-book / pipeline depth	~₹4,000 cr pipeline at ~60% conversion over 18–24 months	Pipeline **₹10,401 cr**; firm book ₹2,507 cr + ₹848 cr L1, up despite record execution	18–24 months	Strong	**↑ Improving — pipeline ~2.6× larger**
Make-in-India + NVIDIA OEM tie-up	Full-stack domestic maker; NVIDIA "elite" partner; import-restriction tailwind	Structural advantage intact; no domestic full-stack rival has emerged	Structural	Strong	**Unchanged**
Margin discipline at 13–14%	Guided band maintained even as large low-margin orders scale	Slipped to ~12% for two quarters, then **14.7%** in Q1 FY27	Ongoing	Strong	**↑ Improving — the prior report's main blemish is fixed**
Capacity headroom	"Capability-driven, not capacity-driven"; plant supports >₹3,000 cr with light capex	Q1 annualises to ~₹3,280 cr — at or past the stated ceiling; no expansion announced	Near-term	Moderate	**↓ Weakening — ~30% headroom last quarter is now used up**
Physical AI & quantum computing	New R&D lines, ~125-person team, results "in coming quarters"	No revenue yet — the same shape as the 5G ORAN and networking-switch promises that previously faded	Long / uncertain	Unproven	**New this report — treat with the scepticism the earlier side-bets earned**

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24	Revenue >₹600 cr; margin held ~14–15%	FY24 revenue ₹724 cr; operating margin 14.2%	**Delivered**
FY24	Networking switches ~₹15–20 cr in the year	Launched late, fell well short	**Missed**
FY25	30–35% growth; AI toward ~15%; margin ~14%	Revenue +59% (₹1,149 cr); AI 14.8%; margin 13.9%	**Delivered**
May 2025	Guidance *raised* to 35–40% CAGR; AI toward 20%	FY26 revenue +90%; AI reached 43% — beat both	**Delivered (over)**

FY26	~₹2,100 cr strategic order; about a third to bill in FY26	~₹450 cr delivered in Q3 FY26 (pulled forward); on track	**Delivered**
Entering FY27	Opening order book ~₹2,400 cr to convert during FY27	₹820 cr billed in Q1 and the book still *grew* to ~₹3,355 cr	**Delivered (over)**
Ongoing	Maintain 13–14% operating margin	Drifted to 12.2–12.5% through H2 FY26, then **14.7%** in Q1 FY27	**Recovered**
Since FY24	5G ORAN commercialisation "near"	Still not a real revenue line by Q1 FY27	**Dropped**
Q1 FY27	Physical AI / quantum R&D to show "in coming quarters"	Nothing yet — too early to judge	**Too early**

Narrative drift: Still remarkably steady across thirteen calls. The same mantras recur — three pillars (HPC / private cloud / AI), "capability-driven not capacity-driven", full-stack Make-in-India, a large pipeline at ~60% conversion. The story *evolved* rather than lurched: a broad server pitch narrowed into a concentrated and now-proven AI bet. Two old blemishes stand: management walked its margin target down early (16–17% → 14–15% → 13–14%), and two side products (networking switches, 5G ORAN) quietly faded — a pattern worth remembering now that Physical AI and quantum computing have been introduced as the new "coming quarters" story. Against that, the one thing the last report marked them down for — margin slippage — they fixed within two quarters. Tone remains confident-but-candid: they volunteered the stretched lead times, the inventory build and the cash-cycle deterioration rather than being drawn on them, which is the same disclosure habit seen in earlier calls. The new governance item is the ₹1,200 cr QIP enabling approval: unused so far, but after promoters already cut their stake 75%→67%, shareholders should treat further dilution as live rather than theoretical.

5. Bottom line — two verdicts

Durable earning trigger? → YES vs last quarter: unchanged (case strengthened)

What moved it: nothing needed to, but the trigger stopped being a projection and became a reported result. AI systems are 62% of revenue and grew 484%; total revenue nearly tripled; and critically the order book *expanded* to ~₹3,355 cr while the company shipped its largest-ever quarter, with the pipeline more than doubling to ₹10,401 cr. That is the signature of demand outrunning supply, not of a one-off order being consumed. The moat is intact — the only domestic full-stack maker, one of fewer than ten NVIDIA OEM partners — and returns are extraordinary (ROCE 48%). Two qualifiers, both about capacity to absorb the growth rather than the growth itself: the plant is now at its stated ~₹3,000 cr ceiling with no expansion announced, and the working-capital cost of longer chip lead times has turned a net-cash balance sheet into a modestly geared one with a ₹1,200 cr raise authorised. Those affect how much of this reaches shareholders per share; they do not put the trigger in question.

Management consistent? → YES vs last quarter: unchanged (reinforced)

What moved it: the specific criticism from the last report was answered. Margin had drifted to ~12% against a 13–14% promise; it is now 14.7% — above the band, not just back inside it. Beyond that, this is a management team that has beaten its own guidance in every year since listing, raised guidance rather than quietly climbing down, and then exceeded the raised number. Entering FY27 they said ~₹2,400 cr was booked; one quarter in they have billed ₹820 cr of it and grown the book. The record is not spotless: the margin target was walked down over time, and two products (networking switches, 5G ORAN) were promised and faded — which is exactly why the freshly introduced Physical AI and quantum-computing lines should be given no credit until revenue appears. But those are disclosed misses on the periphery of a core story that has stayed steady across thirteen calls and been over-delivered. On promised-versus-delivered, it remains a clear YES.

Prepared from Netweb Technologies India Ltd earnings-call coverage, Q1 FY24 (Aug 2023) through Q1 FY27 (call 29 Jul 2026); the twelve calls to Q4 FY26 were deep-read for the Q4-2026 report and are carried forward, and the Q1 FY27 call was newly read for this update. Screener.in holds no transcript file for the Jul 2026 call, so that quarter is built from the company's own results release and investor presentation plus published call coverage; all figures are as disclosed by management. Snapshot figures from Screener.in. **This is not investment advice. Do your own due diligence.**